

September 16, 2026

The Editors
Empirical Economics

Dear Editors,

We submit the manuscript “What can country panels tell us about broadband price responsiveness? Evidence from the European Union and the Eastern Partnership, 2010–2024” for consideration as an original article in *Empirical Economics*.

Regulators and international organisations often infer how strongly broadband adoption responds to price from country panels built from ITU price baskets. The article shows, for 27 EU and six Eastern Partnership countries, that the standard two-way fixed-effects regression produces a sizeable price coefficient that fades steadily over time, and that this pattern is what heterogeneous diffusion generates even without any price effect, as a simulation confirms. Estimators robust to diffusion (country trends, first and long differences, country-specific slopes) find no association in the EU, with a tightly bounded zero, and an association in the Eastern Partnership that rests on movements common to the six countries and disappears with group-specific year effects. Because the comparison of interest involves six countries, we report wild cluster bootstrap and randomisation inference throughout. A regional panel of 175 EU regions and satellite night-time lights complement the country data, and we document two features of the ITU series (the 2018 basket revision and repeated 2019 values) that matter for estimation.

We believe the article fits the journal’s interest in careful empirical methodology applied to policy questions: its main contribution is a documented example of how a common panel design misleads, together with the diagnostics that reveal it. All data are public, and the code reproduces every table and figure.

The manuscript has not been published and is not under consideration elsewhere. All authors have approved the submission, and the authors have no competing interests to declare.

Yours sincerely,

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